



Dangote Petroleum Refinery IPO

Independent Valuation Report · World's largest single-train refinery · 700,000 bpd → 1.4m bpd by 2029

OUR VERDICT
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OFFER PRICE

₦525.00

IMPLIED P/E*

~13.0x

POST-IPO MKT CAP

₦65.2tn

≈ US\$ VALUE

\$47.8bn

INVESTMENT THESIS

Dangote Petroleum Refinery & Petrochemicals FZE is offering **4.1bn ordinary shares at ₦525.00** to raise **₦2.15 trillion gross** (US\$1.58bn), funding roughly one-third of a US\$14.3bn programme to **double capacity from 700,000 to ~1.4m bpd by 2029**. This is the first equity window into the largest single-train refinery on earth and the most consequential industrial asset in Sub-Saharan Africa.

The investment case rests on a rare structural edge: the refinery has **ended six decades of Nigeria importing refined fuel**, capturing the import-parity premium domestically while exporting surplus PMS, jet fuel and diesel into Atlantic-basin markets. After two years of ramp-up losses, H1 2026 delivered the inflection — **₦2.50tn profit on ₦19.13tn revenue**.



THE TURNAROUND IN NUMBERS

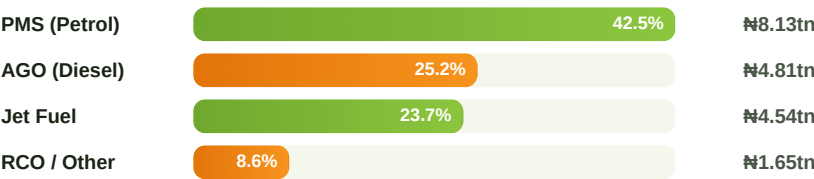
The financial trajectory is the story. Commissioning drag produced heavy losses in 2024 (₦2.23tn) and 2025 (₦0.72tn) as units were tested and finance costs peaked. Full-throughput economics in 2026 flipped the picture decisively:

₦ BILLION	2024	2025	H1 2026
Revenue	9,381	18,738	19,135
Gross profit	(888)	348	3,433
Operating profit	(941)	223	3,254
Profit after tax	(2,233)	(723)	2,504

WHY IT MATTERS

H1 2026 gross margin reached **17.9%** versus 1.9% for full-year 2025. Annualising H1 profit against the enlarged 124.2bn-share base implies EPS near **₦40** and a **~13x P/E** at the offer price — undemanding for an asset with this scale and moat.

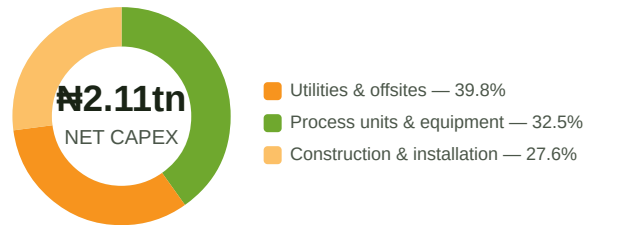
REVENUE BY PRODUCT — H1 2026



OFFER AT A GLANCE

TERM	DETAIL
Issuer	Dangote Petroleum Refinery FZE
Shares offered	4.10bn
Offer price	₦525.00
Gross proceeds	₦2.15tn
Net proceeds	₦2.11tn
Offer costs	1.93%
Free float created	~3.3%
Opens / Closes	14 Sep – 13 Oct 2026
Lead issuer	Vetiva Advisory

USE OF PROCEEDS



Proceeds fund the first phase of the **700k bpd expansion to 1.4m bpd**, targeted for 2029 — the balance financed from operating cash flow and project debt.

SCALE CONTEXT

At full expansion, Dangote would rank among the **five largest refining complexes globally** and single-handedly exceed the combined nameplate capacity of Nigeria's four dormant state refineries several times over.

VALUATION SNAPSHOT

METRIC	AT ₦525
Market cap (post-IPO)	₦65.2tn
EV context (US\$)	~\$47.8bn
P/E (annualised H1'26)	~13.0x
Price / Book	~4.4x
H1'26 net margin	13.1%

◆ NIGERIA MACRO BACKDROP

The IPO lands in the most supportive domestic backdrop in a decade. **GDP grew 4.43% in Q2 2026** — the fastest in years — while headline inflation eased for a second month to **15.4%** (July), down from ~25% a year earlier. The CBN held its policy rate at **26.50%**, and gross reserves hit **US\$54bn, an 18-year high**, giving the naira real firepower. The currency has stabilised near **₦1,320–1,364/US\$**.

Crucially, Governor Cardoso has publicly credited **domestic refining** for partially shielding Nigeria from external oil shocks. Dangote is now a **systemic macro asset**: it cuts the fuel-import bill, defends FX reserves, and dampens the pass-through of global prices to pump prices.

Q2 2026 GDP

+4.43%

4-year high

INFLATION (JUL)

15.4%

easing from ~25%

CBN RATE

26.5%

2nd straight hold

FX RESERVES

\$54bn

18-year high

◆ GLOBAL OIL & GEOPOLITICS

The offer opens into a **tight, geopolitically charged** crude market. Brent has rallied above **US\$101/bbl (Sept 2026)** — a four-month high — on escalating US–Iran hostilities, Houthi strikes on Saudi energy infrastructure including the Jazan refinery, and Ukrainian drone attacks on Russian export terminals. Global inventories have drawn ~400m barrels this year.

For a refiner this cuts both ways. **Higher crude raises feedstock costs**, but supply scares and the loss of competing refining capacity have **widened product cracks** — precisely the diesel and jet spreads driving Dangote's H1 margins. As the Atlantic basin's newest mega-refinery, it is positioned to capture premium export economics while regional and European plants face closure and disruption.

GEOPOLITICAL EDGE

Every barrel of refining capacity knocked offline by conflict in the Gulf, Red Sea or Black Sea **tightens product markets in Dangote's favour**. Its coastal, deep-water location outside conflict zones is a strategic supply-security asset for West Africa and Europe alike.

◆ AFRICA & COMPETITIVE POSITION

Africa imports the majority of its refined fuel despite producing crude — a decades-old structural failure Dangote directly attacks. The refinery serves the **~1.5bn-person African market** and the AfCFTA free-trade zone, displacing European and Middle Eastern imports across West Africa. Its scale creates a cost position no regional competitor can match, while the FG's parallel efforts to revive state refineries remain years behind.

◆ BULL VS BEAR

▲ Bull Case

- + Monopoly-scale moat; ends fuel imports
- + H1'26 profit inflection confirms model
- + Capacity doubling to 1.4m bpd by 2029
- + Wide product cracks from global tightness
- + USD-linked revenue hedges naira weakness
- + Systemic backing — macro-critical asset

▼ Bear Case

- Single-asset concentration risk
- Limited operating history at nameplate
- Crude-supply & feedstock dependence
- Naira/USD volatility on costs & debt
- Tiny ~3.3% float; Dangote-controlled
- Execution risk on US\$14.3bn expansion

◆ KEY RISKS TO MONITOR

- ▶ **Crude feedstock security** — sourcing 700k+ bpd reliably at competitive netbacks amid OPEC+ and Gulf disruption.
- ▶ **FX mismatch** — USD costs, financing and capex vs partly-naira realisations; sharp naira moves compress margins.
- ▶ **Refining-margin cycle** — global capacity additions or demand destruction could compress today's rich cracks.
- ▶ **Governance & float** — minimal free float and concentrated control limit minority influence and liquidity.

BOTTOM LINE

At **~13x annualised earnings** for a strategically unique, cash-generative mega-asset entering a doubling-of-capacity phase — into a tight global oil market that rewards its product slate — the offer is attractively priced for long-horizon investors who can accept single-asset and FX risk. **We rate the IPO SUBSCRIBE.**

✉ Speak to EquityAI

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Considering this offer? Contact us for tailored investment guidance.